

A Complimentary Financial Guide

5 Keys to Retirement Planning Today



Your financial strategy is one of the most important parts of your quality of life in retirement. However, it can also be difficult and complex to keep up with the changing financial landscapes, modern laws, and regulations. In short, creating your financial strategy is never a set-it-and-forget-it task—it requires maintenance. A common rule of thumb is to re-examine your financial and retirement strategy on an annual basis. So, when you undergo this review, remember to look at the five key areas of retirement planning.

- Income Planning
- Investing
- Taxes
- Estate & Legacy Planning
- Healthcare

These are important components of any retirement plan and this guide will outline the basics of each one. Whether you retire this year or not, it's important to create a truly comprehensive retirement strategy that addresses each of these areas.

Income Planning

Retirement income can come from several sources, and many retirees look to Social Security as a significant piece of their income. Claiming Social Security at a time that works for you is an important part of a stable retirement strategy. Here's what to know about Social Security in 2026.

Social Security in 2026

The Social Security trust fund is now expected to be depleted by 2032 if no structural reforms are made, according to a recent report from the Social Security and Medicare trustees. This is exacerbated by the One Big Beautiful Bill Act (OBBBA) which cut taxes that could result in fewer inflows to the Social Security Trust funds. Once the Social Security trust fund runs out, payroll taxes will be able to cover about 75% of promised benefits.¹ While these facts might seem to pose an existential threat to the program, that is not quite the case. It's very unlikely that Washington will ever scrap Social Security entirely, but that's not to suggest that a 25% reduction in promised Social Security benefits is something to shrug off. Ultimately, we can speculate, but your immediate concern is likely to be making the most out of your whole income strategy, not just Social Security.

Social Security Changes in 2026:

Benefits Have Increased by 2.8%: Social Security beneficiaries will see a slightly higher increase than last year's increase of 2.5%. This is due to similar levels of inflation throughout 2025.²

Did You Know? According to a Senior Citizens League study, the average Social Security check has lost 20% of its value since 2010.³

3 Things to Know About Claiming Social Security:

1. The earliest you can claim Social Security benefits is age 62. However, claiming benefits before your full retirement age will result in a permanently smaller benefit. If you wait to claim past your full retirement age, your benefit will increase by 8% per year you defer until age 70 for beneficiaries born in 1943 or after.⁴ Consider what age you will claim benefits and know your full retirement age.
2. If you're planning on working while receiving Social Security, keep in mind that your benefit can be reduced. Social Security beneficiaries under their full retirement age who earn more than \$24,480 in 2026 will have \$1 withheld for every \$2 they earn above this limit. The earnings test eases in the year you reach full retirement age: Social Security holds back \$1 in benefits for every \$3 in earnings above \$65,160. After beneficiaries reach their full retirement age, no benefits are withheld if they continue working.⁵
3. If you have reached your full retirement age and have been married for at least one year, you can claim a Social Security spousal benefit worth up to 50% of your spouse's benefit. You will receive less than 50% of your spouse's benefit if you claim spousal benefits before your full retirement age, but you will not receive more than 50% by waiting past your full retirement age to claim.⁶

Where Will the Rest of Your Retirement Income Come From?

Retirement income used to consist of three elements for many retirees: their savings, pension, and Social Security benefit. Now that many retirees don't have a company pension, personal savings may need to stretch farther. Many people have 401(k)s, IRAs, or other defined contribution plans, which often invest in market-exposed securities and come with certain benefits, including some sort of tax-advantaged status. However, risks still remain.⁷

How Annuities Could Fill the Income Gap⁸

If you're looking to create additional reliable retirement income to supplement your Social Security benefit, you might consider an annuity.

An annuity is a lump sum or series of premium payments in exchange for a stream of payments over a period of time. It works in the opposite way life insurance does—it potentially helps protect against outliving your money by offering an income stream either for a defined period or for life. It can also help protect against market risk while offering potential growth. There are different types of annuities and ways to customize them to your individual needs. After market volatility and economic instability, you may want to consider an annuity when planning for retirement, given its focus on predictable income flow income.

There are several types of annuities, and they can pay out differently depending on their terms. Fixed annuities offer an interest rate guaranteed by the issuing insurance company regardless of market volatility. Fixed-indexed annuities offer potential interest based on an external market index. Variable annuities offer the potential for variable returns based on the market performance of underlying investment options. There are also guaranteed lifetime annuities that provide payments for life and “period-certain” annuities that can distribute funds for a pre-determined amount of time. They can also pay a remainder to a surviving spouse in the event of the original owner’s death.

Some riders can help provide more flexibility and customization. For example, a cost-of-living rider can help hedge against inflation by offering the opportunity for increased income tied to inflation each year. These riders are commonly optional and available at an additional annual cost.⁹

There are pros and cons to each, and the right kind of annuity depends on the individual’s situation. If you do choose to include an annuity in your retirement income plan, we can help you choose from the many options available.

Your investments and income are linked in retirement. As mentioned above, retirement income used to more commonly include pensions and a stronger Social Security fund could cover your benefits throughout your retirement. However, we’re living in a world where pensions are less common, and the Social Security fund isn’t as robust as it used to be. Therefore, your retirement savings and investments may have to carry more of the load when it comes to your income plan... and that may take a plan tailored to your situation.

What's Your Investment Plan?

No one can predict the market, and you may not want to risk potentially losing what you've saved just before you retire. Your risk tolerance may have decreased as you've gotten closer to retirement or as you've settled into retirement. No matter where you are in your retirement timeline, your investment plan should be constructed to withstand whatever the future of the market holds. If you find your portfolio's health hinging on short-term speculation, it may be time to consider a more professional, long-term approach. Ultimately, investment strategy decisions can be complex and time-consuming for many individuals. Working with a financial professional may help navigate these complexities.

While many believe investing is trying to time the market to capture market gains, that's not how an investment plan works. There are many steps involved in shaping your investment strategy to meet your financial and retirement needs. Here are the core investment steps you should discuss with a financial professional:

- Understanding Your Actionable Investing Goals
- Addressing What You Have to Invest
- Shaping Realistic Wealth and Savings Goals
- Understanding Your Retirement Timeline
- Creating a Risk Tolerance Profile
- Differentiating Perceived Risk and Real Risk Tolerance
- Portfolio Balance and Rebalance
- Portfolio Upkeep and Reevaluation

Investing often carries some level of risk. And it's true that the effects of a market correction around the time of your retirement could be detrimental to your financial stability. However, that doesn't mean there aren't ways to help prepare your investments so that if the market tumbles at an inopportune time, your overall savings plan doesn't have to derail. Here's what you can do to help protect yourself from market volatility.

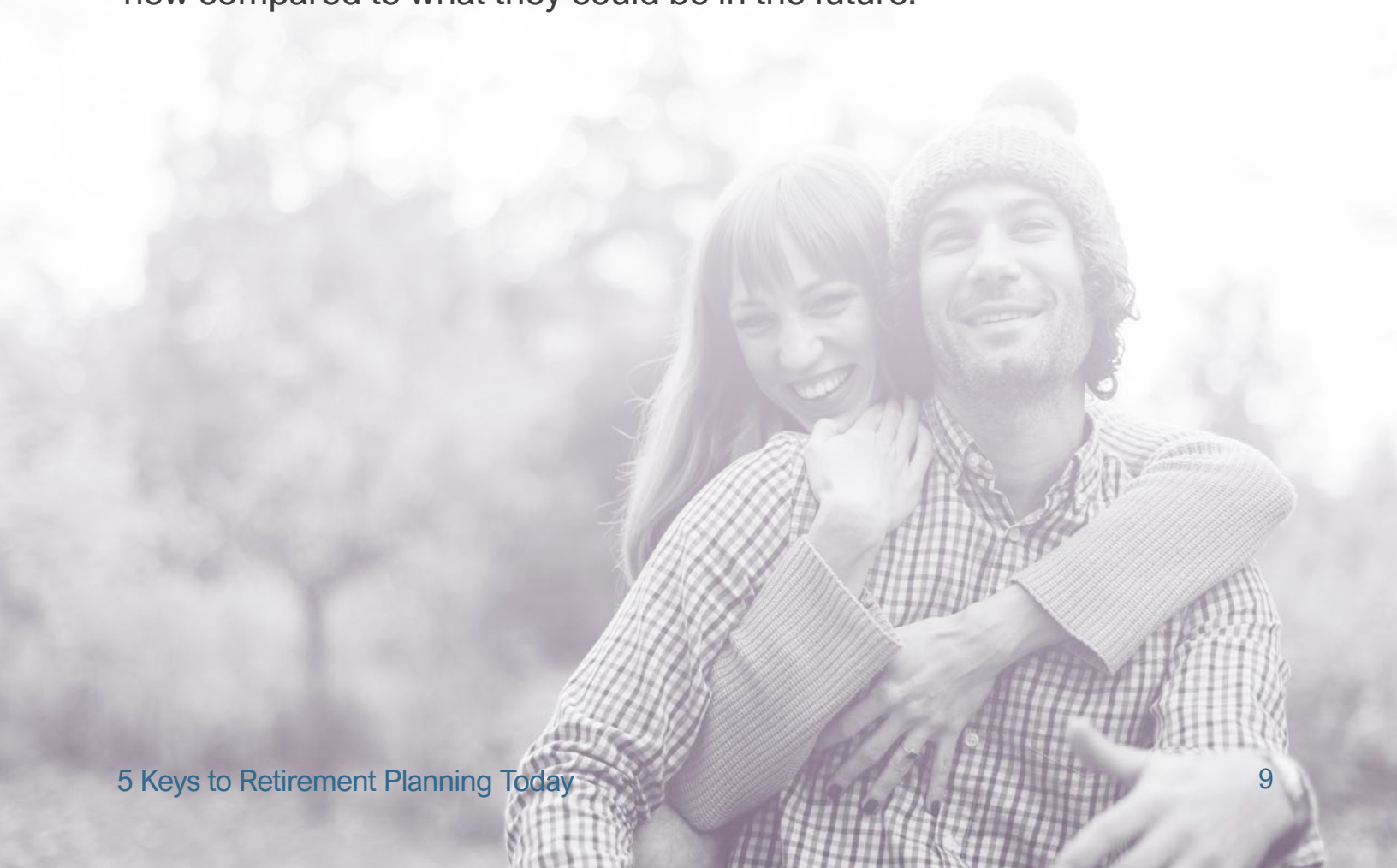
Retirement Investment Strategy Idea Starters:

Base Income	Seek a source of guaranteed income that can reliably cover basic, fixed expenses before risking an amount of savings in certain investments.
Risk Tolerance	Don't risk more of your savings for potential gains than you would be prepared to lose.
Professional Strategy	Manage investment risk by reviewing investment choices against a professionally constructed strategy.
Tax Efficiency	Don't forget what type of accounts you're using. • Traditional or Roth retirement accounts can help reduce your tax burdens, whether IRA, 401(k), or other employer-sponsored account.¹⁰ • Tax-advantaged investment accounts can help you get the most out of your retirement savings if the rules and limitations of these accounts are followed.
Risk Transfer	Consider how insurance can help manage the risk of unexpected expenses, such as healthcare needs, that could have to come out of your investment holdings.
Diversification	Diversify. There are so many investment options available that you can mix and match, but with so many options, it's important to have a knowledge-based strategy. With the help of a financial professional, you can meet your risk/reward requirements to help achieve your goals.

Tax Reduction

Taxes can often be one of our single largest expenses in retirement. Between taxes on your retirement account withdrawals, real estate holdings, Social Security benefits, and investments, you may be giving up a substantial amount of money without a comprehensive tax reduction strategy in place. Do you have a long-term tax reduction strategy, or are you only focused on reducing your tax burden on a year-to-year basis?

There are many economic, financial, and political reasons why taxes could change federally or on a state level. Specifically, after the tax cuts seen in the OBBBA, such as the additional \$6,000 senior deduction, there may be several tax reduction opportunities to take advantage of now that may not last. In other words, we could be experiencing relatively low tax rates now compared to what they could be in the future.^{11, 12}



So, what can you do today to help reduce your taxes tomorrow? Rather than tax planning just on a yearly basis, consider creating a long-term tax reduction plan. It could include the following strategies:

- Strategic asset allocation
- A tailored annuity
- A life insurance policy
- Charitable giving
- Real estate strategy
- Using a Health Savings Account (HSA)
- A Roth IRA conversion

While all these strategies may help you lower your tax bills now and in the future, they are not all guaranteed to work or make sense for you given the context of your financial situation. That's why it can be beneficial to work with an experienced professional who seeks to understand your situation as well as utilize their comprehensive knowledge of financial rules, laws, and strategies.

Prepare For This Tax Season¹³

Of course, you have to start somewhere. So, what better time than now to consider how you may be able to take advantage of certain tax deductions?

Tax Deduction Categories:

Unreimbursed Medical and Dental Expenses

You can deduct medical and dental expenses exceeding 7.5% of your adjusted gross income (AGI). These deductions cover expenses for you, your spouse, and your dependents. Only out-of-pocket costs not covered by insurance are eligible.

Long-Term Care Premiums

If you have long-term care insurance, premiums exceeding 10% of your AGI may be deductible, subject to age-based limits. The insurance policy must meet IRS qualifications to be eligible for this deduction.

Home Mortgage Interest

Mortgage interest is deductible on the first \$750,000 of debt for a primary or secondary residence. For mortgages originating before December 16, 2017, the limit is \$1 million. Taxpayers who bought or refinanced homes can also deduct points paid, following IRS guidelines. Your lender will provide a Form 1098 showing the amount of interest paid during the year.

State and Local Taxes (SALT)

Taxpayers who itemize can deduct personal property taxes (including real estate taxes) and state/local income taxes or sales taxes. However, the total deduction is capped at \$40,000, as of the OBBBA. Refunds received from state taxes in the previous year must be reported as income if deductions were itemized that year. Note that foreign real estate taxes are not deductible.

Casualty and Theft Losses

Losses due to federally declared disasters can be deducted if they exceed 10% of your AGI after subtracting a \$100 threshold. If you receive reimbursement for such a loss in a later year, it must be reported as income.

Miscellaneous Deductions

This category includes:

- Gambling losses, up to the amount of gambling winnings.
- Losses from partnerships or S corporations.
- Estate taxes on income in respect of a decedent (IRD).
- Other specific expenses detailed in IRS Publication 529.

Charitable Donations

Contributions to qualified charities are typically deductible from 20% up to 60% of your AGI, though limits may vary depending on the type of donation and recipient organization. If your contributions exceed the annual limit, the excess can often be carried forward to future tax years.

The Basics of Charitable Deductions¹⁴

- Charitable contributions or donations can help you lower your taxable income.
- There are many ways to make donations, whether out-of-pocket cash, via a direct retirement account contribution, or via a stock or asset contribution.
- To claim a tax-deductible donation, you must itemize your taxes.
- Your donation must meet certain guidelines to qualify. These guidelines can depend on how and what you donate.

The right strategy to reduce taxes really depends on your goals and unique financial situation. A tax reduction strategy should work in concert with your overall retirement plan, including your estate and investment plan.



Estate Planning

Research indicates that roughly \$84 trillion are expected to pass from Baby Boomers to their beneficiaries in what would be the largest generational wealth transfer event in history.¹⁵ Regardless of how much money you plan to pass down to your loved ones, an estate plan helps ensure that your wishes are kept intact and that as little of your inheritance gets impacted by a lengthy legal process or unnecessary estate taxes. This should include talking to loved ones about money, creating the necessary estate planning documents, and working to help reduce taxes.

Important Estate Planning Documents¹⁶

A Will

A will is a legal document that outlines how you want your assets distributed after your death. It serves as a framework for the division of your property and specifies guardianship for any minor children. It's a foundational component of an estate plan, allowing you to document your personal wishes and potentially reduce disputes amongst beneficiaries. However, it's important to remember that a will is just one part of an estate plan.

A Trust, Revocable and Irrevocable

A revocable trust, also known as a living trust, is a legal entity created to hold assets, and it can be revised or fully revoked at any time during the trustor's lifetime, as long as they're of sound mind. This type of trust offers the benefit of avoiding probate, which can be a lengthy and costly process, and allows for continuous management of assets even if the trustor becomes incapacitated.

An **irrevocable trust** is a type of trust that, once established, cannot be changed or revoked without the consent of the beneficiaries. This type of trust is often used to provide estate tax benefits, protect assets from creditors or lawsuits, and potentially qualify the trustor for certain government benefits. However, the trade-off is a loss of control over these assets, as they are now owned by the trust and not the trustor.

The choice between a revocable and irrevocable trust depends on individual circumstances and estate planning goals. Talk to a qualified professional to get clarity on which types of trust may work best for you.

An Advanced Medical Directive

An advanced medical directive, also known as a living will, medical directive, health care proxy, or advance health care directive, depending on the state, is a legal document that provides instructions for medical care and only goes into effect if you cannot communicate your own decisions. It is a crucial part of advance care planning and typically involves two common types of directives: the Living Will, which specifies your treatment preferences (like life support) if you can't speak, and the Durable Power of Attorney for Health Care(or Healthcare Proxy), which appoints a person (agent) to make medical decisions for you.

Having an advanced medical directive ensures your wishes are communicated clearly to your loved ones and physicians, offering a sense of control over future care decisions. It's important to note that these directives are recognized legally but are not legally binding, and they should be reviewed and updated regularly. The specific laws regarding these documents vary by state.

Financial Power of Attorney

A Financial Power of Attorney (POA) is a crucial component of your estate plan that grants authority to a trusted individual to manage your financial matters when you are unable to do so. This could be due to incapacitation or absence. The responsibilities of a Financial POA can range from handling banking and investments to managing property, and the scope can be broad or specific, as per your preference. A Durable Financial Power of Attorney allows the appointed person to act even after you become incapacitated. However, note that it typically pertains to financial matters and not medical decisions unless specifically stated. The selection of a Financial POA should be based on trust and confidence in the individual's ability to handle your financial affairs.

What documents are necessary may depend on your unique financial situation, legacy goals, and family situation. Most importantly, don't put off creating or updating your estate plan and the documents you need.

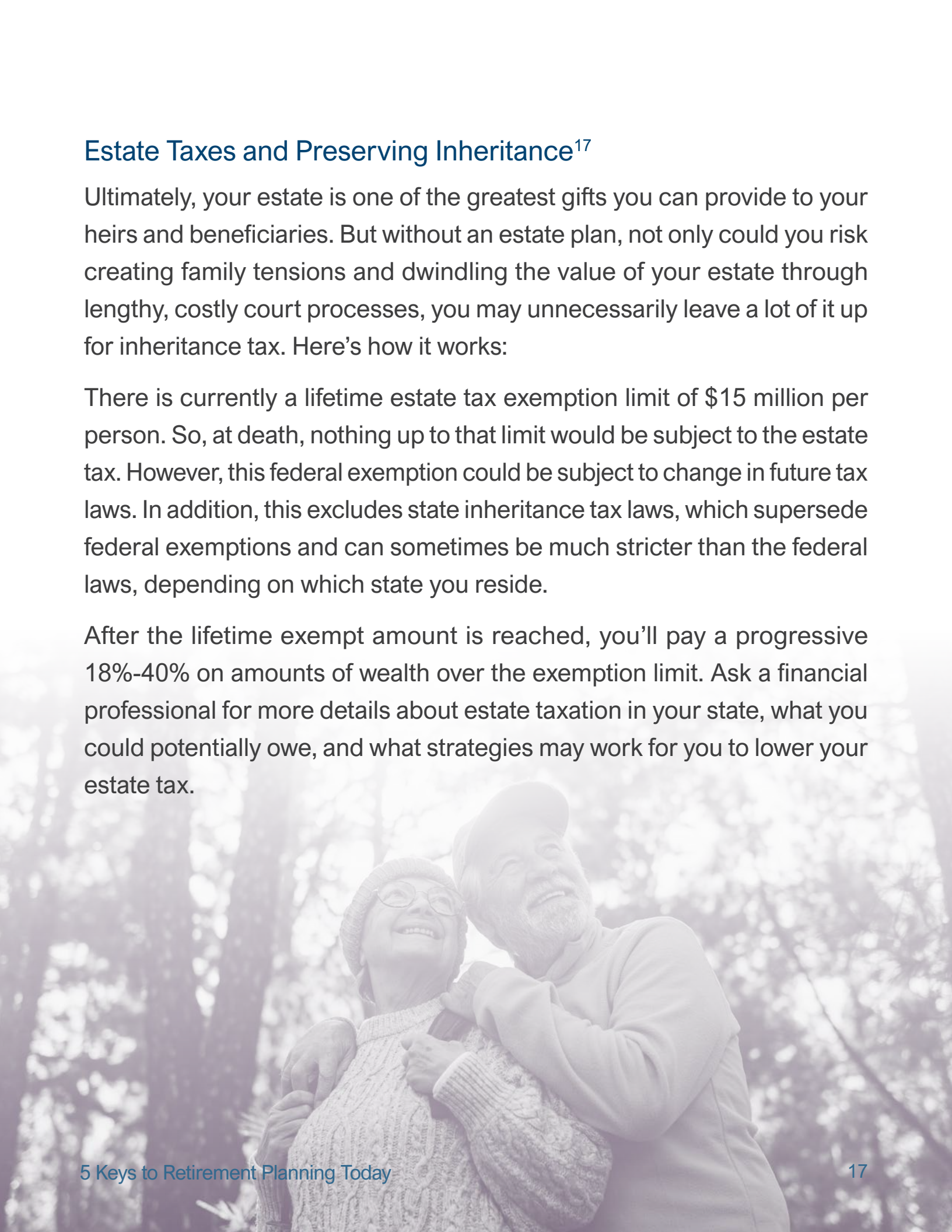


Estate Taxes and Preserving Inheritance¹⁷

Ultimately, your estate is one of the greatest gifts you can provide to your heirs and beneficiaries. But without an estate plan, not only could you risk creating family tensions and dwindling the value of your estate through lengthy, costly court processes, you may unnecessarily leave a lot of it up for inheritance tax. Here's how it works:

There is currently a lifetime estate tax exemption limit of \$15 million per person. So, at death, nothing up to that limit would be subject to the estate tax. However, this federal exemption could be subject to change in future tax laws. In addition, this excludes state inheritance tax laws, which supersede federal exemptions and can sometimes be much stricter than the federal laws, depending on which state you reside.

After the lifetime exempt amount is reached, you'll pay a progressive 18%-40% on amounts of wealth over the exemption limit. Ask a financial professional for more details about estate taxation in your state, what you could potentially owe, and what strategies may work for you to lower your estate tax.



Healthcare & Long-Term Care

It's understandable if you look to Medicare as your sole healthcare solution in retirement. However, there are key complexities in how enrollment periods work and what sections of Medicare actually cover what. In addition, there are parts of Medicare that aren't entirely free, and there are key services that aren't even covered under Medicare! So, make sure you understand the basics of Medicare before finalizing your healthcare plan. Otherwise, you may be left paying major expenses out-of-pocket you didn't know you weren't covered for.

Know Your Enrollment Periods¹⁸

	Initial Enrollment Period	Special Enrollment Period	Annual Enrollment Period	General Enrollment Period + Part C Open Enrollment Period
When	3 months before and after your birth month, including your birth month	Year-Round	Oct. 15 – Dec. 7	Jan. 1 – Mar. 31
What Can be Done	Enroll in Original Medicare and choose a Medicare health plan	Compare coverage options and enroll in a new or different plan	If already enrolled in Medicare, you can enroll in Part C and switch or add Part D	If Initial Enrollment was missed, enroll in Parts A and B If already enrolled in Part C, you can switch to another Part C plan or return to just Part B and/or A
Who is Eligible	People turning 65	People who have experienced qualifying life-changing events that require changes to their healthcare situation	People eligible for, or already covered by, Medicare	People currently covered by Part D and/or C

Understand the Parts of Medicare and What They Cover^{19, 20}

Part A helps cover hospital stays, home health care, skilled nursing, and hospice.

- Services under Part A are most commonly free.

Part B helps cover doctor's visits, outpatient procedures, and some preventative care products and services.

- **2026 Deductible: \$283.**
- **2026 Standard Premium: \$202.90.**

Part C is additional insurance and can put a limit on your out-of-pocket costs and cover costs Parts A and B don't, such as dental and vision.

- Part C is another term for Medicare Advantage plans, commonly replacing and/or adding additional coverage not found under Parts A and B. Similar to Part B, Part C is not free and comes with regular costs.

Part D helps cover prescription drug costs.

- Part D specifically refers to prescription drug coverage and comes at a supplemental cost to Part B and sometimes C, as some Part C plans come with prescription drug coverage.

New Part D payment structure:

- Deductible phase: 100% payment up to \$615.
- Initial coverage: 25% coinsurance until the Part D out-of-pocket limit.
- Catastrophic coverage: \$0 cost after reaching the Part D out-of-pocket limit.

It's important to know what Medicare Parts A and B don't cover

- Deductibles and co-pays
- Most dental care
- Routine vision care
- Hearing aids
- Medical care outside of the U.S.
- Long-term care costs

Income-Related Monthly Adjustment Amount (IRMAA)

The Income-Related Monthly Adjustment Amount (IRMAA) is a surcharge added to the standard Medicare Part B (medical insurance) and Medicare Part D (prescription drug coverage) premiums for beneficiaries whose modified adjusted gross income (MAGI) exceeds certain annual thresholds.

Here is a summary of what IRMAA is and how it's calculated.

What is IRMAA?

Definition: IRMAA is an extra monthly premium amount that higher-income Medicare beneficiaries must pay on top of their standard Part B and/or Part D premiums.

Applicability: It affects about 5-6% of all Medicare beneficiaries.

Components: You can be charged IRMAA for both Medicare **Part B** and Medicare **Part D**.

How is IRMAA Calculated?

IRMAA is calculated based on your **Modified Adjusted Gross Income (MAGI)** from your federal tax return filed **two years prior** to the current Medicare year.

- **2026 IRMAA Calculation:** Your 2026 IRMAA will be based on your MAGI from your **2024 tax return**.
- **What Counts as MAGI:** For IRMAA purposes, MAGI is your Adjusted Gross Income (AGI) plus certain tax-exempt interest income. This can include (but is not limited to):
 - » Wages and salaries
 - » Capital gains
 - » Taxable portion of Social Security benefits
 - » Tax-exempt interest from municipal bonds

The Social Security Administration (SSA) determines your MAGI and notifies you if you are subject to IRMAA. You can appeal this decision if you have experienced a life-changing event (e.g., marriage, divorce, retirement) that has significantly reduced your income since 2024.

IRMAA Applies to Incomes Above a Threshold

2024 MAGI (Individual)	2024 MAGI (Married Filing Jointly)
Greater than \$109,000	Greater than \$218,000

If your income passes these thresholds, you may pay more than the standard Part B or D Premium. Reach out to us today to better understand your coverage and payment options.

What's Your Long-Term Care Plan?

It's important to know that some of these expenses can be covered under Part C coverage or Medigap coverage, but long-term care is only scarcely covered under any Medicare plan. Long-term care is care required when you can no longer complete tasks of daily living, such as making food or bathing. So, when you or a loved one may require a home health nurse or a nursing home for an extended time, those expenses are not covered under Medicare!²¹

Even if you're a long time away from needing long-term care, now is the time to plan. An estimated 70% of Americans currently age 65 will need long-term care at some point, and costs can be staggering. A private room in a nursing home costs over \$10,000 per month!^{22, 23}

Medicare will only cover long-term care for a limited period, and paying out-of-pocket can be quite expensive. There are several other options for covering costs, including long-term care insurance, qualifying for Medicaid, an annuity with long-term care benefits, and a life insurance or long-term care policy. The right strategy depends on your individual situation, and you can explore your options with our team.²⁴

Take Control of Your Financial Future This Year

Whether you have a plan for some or none of the five key areas of retirement planning, we can help you create a cohesive strategy that works to address all of your concerns. If your financial situation changed recently or if you're rethinking your retirement strategy, come talk to us. Here's what you can expect from a qualified financial professional from our team:

- Someone who understands and cares about your concerns and will take the time to address them and discuss your unique situation.
- Someone willing to spend the time to educate you on all of your investment options and how they work.
- Someone who clearly explains how they are compensated.
- Someone you are comfortable trusting with your financial well-being and will be there for your family when needed.

If you have more questions about any of the key areas of retirement planning, contact us to schedule a complimentary review of your financial picture where we can discuss these topics in depth.

Sources

- [1] <https://www.crfb.org/blogs/social-security-turns-90-its-racing-towards-insolvency>
- [2] <https://www.aarp.org/social-security/biggest-2026-changes/>
- [3] <https://seniorsleague.org/benefits-20-of-buying-power-since-2010/>
- [4] <https://www.ssa.gov/benefits/retirement/planner/delayret.html>
- [5] <https://www.ssa.gov/news/en/cola/factsheets/2026.html>
- [6] <https://www.investopedia.com/ask/answers/081915/how-are-spousal-benefits-calculated-social-security.asp>
- [7] <https://www.investopedia.com/articles/retirement/10/demise-defined-benefit-plan.asp>
- [8] <https://www.investopedia.com/terms/a/annuity.asp>
- [9] <https://www.annuity.org/annuities/riders/>
- [10] <https://www.nerdwallet.com/article/investing/retirement-investments-beginners-guide>
- [11] <https://www.investopedia.com/taxes/trumps-tax-reform-plan-explained/>
- [12] <https://www.irs.gov/newsroom/one-big-beautiful-bill-act-tax-deductions-for-working-americans-and-seniors>
- [13] <https://www.nerdwallet.com/article/taxes/tax-deductions-tax-breaks>
- [14] <https://www.daffy.org/resources/charitable-tax-deductions-guide-2022>
- [15] <https://www.cnbc.com/2024/10/24/great-wealth-transfer.html>
- [16] https://www.investopedia.com/articles/pf/07/estate_plan_checklist.asp
- [17] <https://www.nerdwallet.com/article/taxes/gift-tax-rate>
- [18] <https://www.humana.com/medicare/medicare-resources/medicare-enrollment-periods>
- [19] <https://www.investopedia.com/articles/personal-finance/070914/medicare-101-do-you-need-all-4-parts.asp>
- [20] <https://www.cms.gov/newsroom/fact-sheets/2026-medicare-parts-b-premiums-deductibles>
- [21] <https://www.medicare.gov/coverage/long-term-care>
- [22] <https://aspe.hhs.gov/reports/what-lifetime-risk-needing-receiving-long-term-services-supports>
- [23] <https://www.carescout.com/cost-of-care>
- [24] <https://www.humana.com/medicare/medicare-resources/does-medicare-cover-long-term-care>

Disclosure

This article is not endorsed or approved by the Social Security Office or any other Government Agency. It is designed to provide general information on the subjects covered. Pursuant to IRS Circular 230, it is not intended to provide specific legal or tax advice and cannot be used to avoid penalties or to promote, market, or recommend any tax plan or arrangement. You are encouraged to consult your personal tax advisor or attorney.

This information is provided as general information and is not intended to be specific financial guidance. Before you make any decisions regarding your personal financial situation, you should consult a financial or tax professional to discuss your individual circumstances and objectives. The source(s) used to prepare this material is/are believed to be true, accurate and reliable, but is/are not guaranteed. An annuity is intended to be a long-term, tax-deferred retirement vehicle. Earnings are taxable as ordinary income when distributed, and if withdrawn before age 59½, may be subject to a 10% federal tax penalty. If the annuity will fund an IRA or other tax qualified plan, the tax deferral feature offers no additional value. Qualified distributions from a Roth IRA are generally excluded from gross income, but taxes and penalties may apply to non-qualified distributions. Consult a tax advisor for specific information. Fixed Index Annuities are designed to meet long-term needs for retirement income, and they provide guarantees against the loss of principal and credited interest, and offer the reassurance of a death benefit for your beneficiaries. Income benefit riders may be offered either built-in or for an additional cost. Guarantees are backed by the financial strength and claims-paying ability of the issuing insurance company.

SWG5173520-0126